

■ By Shankkar Aiyar

Welcome to the Babel of numbers. Till last week, every third person in the world living on an income of less than a dollar a day, was an Indian. This week, the World Bank announced a new measure of poverty. Now anyone living with an income of under \$1.25 (Rs 55) per day was poor. By this measure again, every third person living under the poverty line was an Indian. You would be justified in exclaiming what the heck is all the blather about! But there is a change in the absolute magnitude. Last week, 266.5 mn Indians were living under the poverty line. This week, the World Bank reported, 455.8 mn people (more than 384.2 mn in sub-Saharan Africa) live on an income of less than \$1.25 and thus, under the poverty line.

Very simply, the report is not the best endorsement for the UPA which has dined off the plank of inclusive growth through its tenure. In just one week, the number of people living under the poverty line has shot up by 189.3 million. Nor could it have come at a more inopportune time in the run up to the elections. After all, this Government has bragging rights only for the 9 per cent GDP growth and the yet to be cached nuclear deal. Sure the Government could argue about the methodology but opposition parties are unlikely to let go a chance to use the optics of higher poverty. Already Prakash Karat, CPI(M) general secretary, has characterised the finding as proof "of the bankruptcy of economic strategy. The more they talk about growth the more poor people we seem to find." It is a sound byte that will find echoes in other party briefings soon.

Political rhetoric apart, there is no disputing that the numbers are distressing. Whether it is the Government of India's own figure of 310 mn or the World Bank's 266.5 mn at less than a dollar a day income levels. One in four people below poverty line is hardly the India story one can brag about. Yes, the change in the methodology of computing the poor could be questioned. The

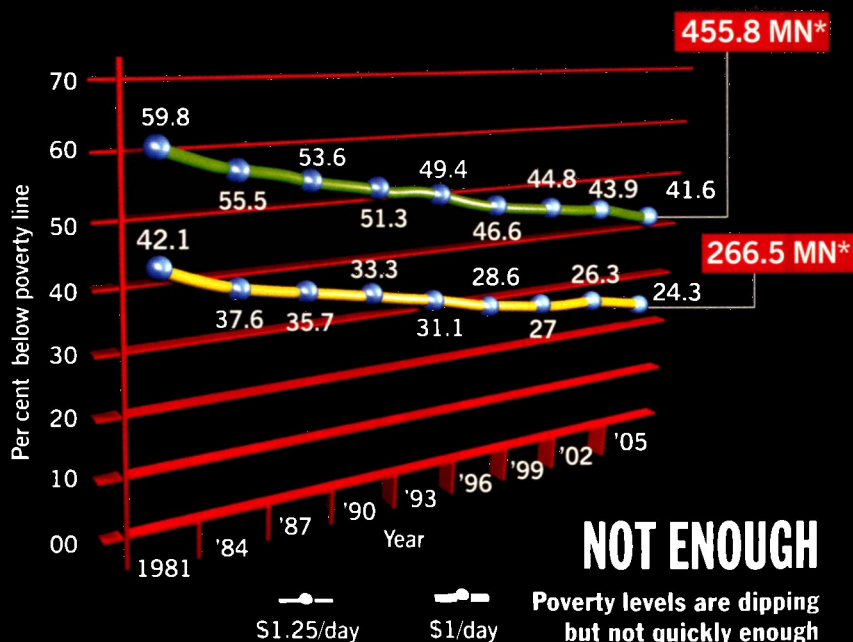
revision, says Martin Ravallion, co-author and director of the Bank's Development Research Group, was triggered by a late recognition of the fact that "the cost of living in the developing world is higher than we thought". Besides being a commentary on the quality of World Bank's research for 25 years, the revision also raises other questions. Why, for instance, should India dump its own studies using the calorific method where consumption below 2,400 calories is deemed below

poverty line? Ajit Ranade, chief economist at the Aditya Birla Group, points out, "the Bank agrees that the correct measure for poverty for India and China who account for 37 per cent of the world populace is a dollar a day. So why meddle with the method? Why \$1.25 a day? Thank God it's not \$4."

It isn't that poverty is not going down. The authors do reveal that robust growth has pushed poverty levels down. Bibek Debroy, economist and professor at the Centre for Policy

THE OTHER INDIA STORY

The World Bank says four out of 10 Indians live below the poverty line. You could quarrel with the methodology but there is no disputing the cause—pathetic governance.



Graphic by PRASHANT CHAUDHARY

310 MN

is the number of people below the poverty line, says the Indian Government.

455.8 MN

Indians live on less than \$1.25 a day, according to a World Bank report.